



CA INTER MAY 2026

AUDITING & ETHICS

**AUDIT
DOCUMENTATION**

ONE SHOT



CHAPTER 5: AUDIT DOCUMENTATION (SA 230)

SA 230 – Audit Documentation

Barcode – Student Specific Code

**AUDIT
DOCUMENTATION**

AUDIT FILE

COMPLETION MEMORANDUM

Objective of Auditor:

(MTP 2024)

Is to prepare documentation that provides:

- A sufficient and appropriate record of the basis for the auditor's report; and
- Evidence that the audit was planned and performed in accordance with SAs and applicable legal and regulatory requirements.

Q1. Discuss the "meaning" and "nature" of Audit Documentation. (IMP.)

Define:

Audit Documentation refers to the record of:

- audit procedures performed,
- relevant audit evidence obtained, and
- conclusions the auditor reached.

Barcode – Student Specific Code

(Terms such as "working papers" or "work papers" are also sometimes used.)

Point to Note: The standard does not in any way limit the specific documentation requirements of other SA's. In other words, if other SAs & Laws or regulations prescribe more documentation requirements, those documentations are also to be maintained.

Nature of AD:

Audit Documentation provides:

- evidence of auditor's basis for a conclusion about achievement of objectives of auditor,
- evidence that audit was planned and performed in accordance with SAs & applicable L&R

Q2. A new team member of the auditors saying that Audit Documentation does not help in planning the audit of any company. Explain whether Audit Docs has any relation with regard to planning the audit (IMP.), OR how does audit documentation help CA Shubh support his findings in audit in accordance with SA's? [MTP'25]

Purpose/Importance of A.D:

Answer:

Audit Documentation helps in planning the audit of a company in a proper manner and also helps in conducting the audit of that company in a more effective way.

Help Engt Team:

- Assisting the engagement team to plan and perform the audit.
- Assisting members of the engagement team to direct and supervise the audit work, and to discharge their review responsibilities.

Accountability:

- Enabling the engagement team to be accountable for its work.
- Retaining a record of matters of continuing significance to future audits.

External & Internal Inspection:

- Enabling conduct of quality control reviews and inspections in accordance with SQC 1.
- Enabling conduct of external inspections as per applicable legal, regulatory or other req.

Q3. Audit Docs provides evidence of the auditor's basis for a conclusion about achievement of overall objectives and evidence that audit performed in accordance with SAs. Explain stating clearly purpose of audit docs.

Hint: Refer above "Nature" & "Purpose of A.D"

➤ Form Content and Extent of Audit Documentation

Enable Experience Auditor:	Prepare audit documentation that is sufficient to enable an experienced auditor, having no previous connection with the audit, to understand: - NTE of Audit procedure performed - results of the audit procedures performed and the audit evidence obtained - Significant matters arising during audit and conclusions reached & Judgement made
Documenting NTE of A. Procedure:	Q4. While documenting the NTE of A. procedures, explain important matters should record (Old) In documenting the NTE of audit procedures performed, the auditor shall record: - The identifying characteristics of specific items tested. - Who performed the audit work and the date such work was completed - Who reviewed the audit work performed and the date and extent of such review.
Document Significant Matter:	Q5. During audit, an issue arose relating to treatment of interest costs of company on its restructured loans taken from a bank. This important matter was discussed with CFO & was properly resolved. Is it necessary for the auditor to include in its working papers?, Or Q6. Before audit finalization → found that one material Debtor is in financial crisis → had discussion with management to address issue & agreed to make provision → how auditor can fulfill "documentation part" of this matter. [sept'25] <u>Answer:</u> Auditor shall document: - Discussions of significant matters with Mngt, TCWG, and others, including the nature of the significant matters discussed and when and with whom the discussions took place - If auditor identified information that is inconsistent with auditor's final conclusion regarding significant matter, auditor shall document how auditor addressed the inconsistency. "In the instant case, an important matter regarding treatment of interest costs of company on its restructured loans taken from a bank directly impacting profits of the company was discussed. Although issue was resolved, it is necessary to document the same by including detail of the person with whom discussions took place along with date" [in Next Qn → Document minutes of Discussion with Mngt, person representing mngt, amount of provision recommended by auditor, amount accepted by mngt]
Factors affecting Form, Content & Extent of AD:	Q7. The form, content and extent of audit documentation depend on factors such as size & complexity of entity, nature of the audit procedures to be performed etc. Explain in detail The form, content and extent of audit documentation depend on factors such as: - The nature of the audit procedures to be performed. - The significance of the audit evidence obtained - The need to document a conclusion or the basis for a conclusion not readily determinable from the documentation of the work performed or audit evidence obtained. [Trick: Jis "Entity" ki Audit kar rahe h > Usme kitni "Risk" hai > uss hisaab se "Audit method" lgao] - The size and complexity of the entity. - The identified risks of material misstatement. - The nature and extent of exceptions identified. - The audit methodology and tools used. - Timely preparation of audit documentations

➤ Timely Preparation of Audit Documentation

- The auditor shall prepare audit documentation on a **timely basis**
- **Before Review Finalized:** It **enhance the quality of audit** and facilitates the **effective review and evaluation of the audit evidence obtained and conclusions reached** before the auditor's report is finalized.
- **Documentation prepared after the audit work** → has been performed is likely to be **less accurate than** documentation prepared at the time such work is performed.

➤ Audit File:

Means:	• One or more folders or other storage media • In physical or electronic form, containing the record that comprise • The audit documentation for a specific engagement.
Relation Between Audit File & AD:	Q8. Auditor is saying → "no relation exists between Audit File & Audit Documentation". Explain. Hint: Refer Above "Definition" of "Audit File" • Audit File comprise the audit documentation for a specific engagement. • The auditor shall assemble the audit documentation in an audit file and • complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report
Assembly of A. File:	Q9. Auditor shall assemble the audit documentation in an audit file & complete the administrative process of assembling the final audit file on a timely basis after the date of auditor's report. Q. SQC 1 requires firms to establish policies for the timely completion of assembly of audit files. Answer: SA 230: The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of auditor's report. ➤ <u>SQC-1 Quality Control for Firms that perform Audits and Review:</u> 1) SQC 1 requires firms to establish policies & procedures for timely completion of assembly of audit files. 2) Time limit to complete assembly of final audit file → not more than 60 days after the date of the auditor's report. 3) SQC 1 Retention: Retention period for audit engagements Minimum 7 years from the date of the auditor's report, or, if later, the date of the group auditor's report 4) It's just an administrative process → does not involve the performance of new audit procedures or the drawing of new conclusions 5) Not Delete or Discard: After the assembly of the final audit file has been completed, auditor shall not delete or discard A.D. of any nature before the end of its retention period. 6) Changes may, however, be made to the audit documentation during the final assembly process, if they are administrative in nature Examples of such changes: [DD-SS] • Deleting or discarding superseded documentation. • Documenting audit evidence that the auditor has obtained, discussed and agreed with the relevant members of the engagement team before the date of the auditor's report. • Sorting, collating and cross-referencing working papers • Signing off on completion checklists relating to the file assembly process.

MCQ: only administrative changes in the final audit file are allowed" i.e., allows admin edits (sorting), **not** substantive changes like recalculations

Q10. Under what circumstances, a statutory auditor can make changes to audit documentation during final assembly process of audit file? Give a few examples of such changes.

Hint: Refer Above → "[Examples of Such Changes](#)" (DD-SS)

Q11. audit of a listed company → The audit report dated 15th July 2022. However, audit working papers have not been properly assembled. More than 6 months have elapsed after issue of audit report. Discuss.

Hint: → time limit to complete assembly is ordinarily not more than 60 days after date of auditor's report.

→ Further, preparing sufficient & appropriate audit documentation on a timely basis helps to enhance the quality of the audit and facilitates the effective review and evaluation of the audit evidence obtained. Documentation prepared after audit work has been performed is likely to be less accurate.

In the given case, more than six months, Besides, she has put in some papers with the current date which is not permissible at all. It shows that part of audit documentation has been prepared afterwards putting a question mark on quality of audit.

Q12. SA-230 says, timely preparation of audit documentation, but SQC-1 says audit file to prepare within 60 days from date of audit report. Explain (RTP-2024)

Hint: SA 230 require timely preparation of A.Documentation → It enhance quality of the audit & facilitates effective review & evaluation of A.evidence obtained & conclusions reached before the A.Report is finalized.

SQC-1 however require to complete assembly of final audit file withing 60 days after date of auditor's report. (it's after date of audit report because it's just a administrative task, not involve new audit procedure)

Hence, prepare documentation on a timely basis → But audit file can be prepare within 60 days from A.report

Q13. CA B, an auditor, After Audit, was occupied in assembling of final audit files of. He was preparing [Audit Documentation & file](#) in paper form because he believed that it's mandatory. He could complete documentation as well as assembling of final audit file of that client after 3 months from the date of audit report. Generally, he retains audit file of the clients for 4 years from the date of audit report..

Hint: Audit documentation and Audit File → may be recorded on paper or on electronic or other media. Hence, His view that it should be maintained mandatorily in paper form is not correct.

- Audit Documentation → Auditor shall prepare audit documentation on timely basis, enhance the quality of the audit and facilitates the effective review and evaluation of the audit evidence. Documentation prepared after the audit work has been performed is likely to be less accurate than documentation prepared at the time such work is performed. Completing the audit Documentation by CA B not on timely basis is not proper,
- Audit file assembly → not more than 60 days after the date of the auditor's report. (hence 3m is not valid)
- SQC 1 → retention period for audit engagements ordinarily is no shorter than 7 years from the date of the auditor's report, or, if later, the date of the group auditor's report. (hence 4 Yr is non-compliance)

➤ Documentation of Significant Matters & Significant Judgement:

Significant Matters

[Risky hai bhai ... FS MM hai, Fir bhi muje Audit karne me Significant Difficulty aari hai, > me to Modify

Q14. auditor shall prepare audit docs that is sufficient to enable an experienced auditor to understand significant matters. Explain & give examples of significant matters. (RTP'24)

Hint:

The auditor shall prepare audit documentation that is sufficient to enable an experienced auditor, having no previous connection with the audit, to understand significant matters arising during the audit, the conclusions reached thereon, and significant professional judgments made in reaching those conclusion

Documentation of Significant Matters and Related Significant Professional Judgements:

Example of Significant matters:

karunga]	1) Matters that give rise to significant risks. 2) Results of audit procedures indicating (a) that FS could be materially misstated, or (b) a need to revise the auditor's previous assessment of ROMM and auditor's responses to those risks. 3) Circumstances that cause auditor significant difficulty in applying necessary audit procedr. 4) Findings that could result in a modification to the audit opinion or the inclusion of an Emphasis of Matter Paragraph in the auditor's report. Documentation of the professional Significant judgements made, serves to explain the auditor's conclusions and to reinforce the quality of the judgement Such matters are of particular interest to those responsible for reviewing audit documentation, including those carrying out subsequent audits (i.e., Review of A/cing estimates)
Significant Judgement: [SA's ke andar hi given hai saare judgement]	Documentation of the professional Significant judgements made, serves to explain the auditor's conclusions and to reinforce the quality of the judgement Such matters are of particular interest to those responsible for reviewing audit documentation, including those carrying out subsequent audits (i.e., Review of A/cing estimates) Examples: • "Shall Consider": The rationale for the auditor's conclusion <u>when requirement provides that auditor 'shall consider' certain information</u> • Authenticity of Document: The <u>basis for the auditor's conclusions about the authenticity of document when further investigation is undertaken</u> in response to conditions identified during the audit that caused the auditor to believe that the document may not be authentic. • "Subjective Judgement" The basis for the auditor's conclusion on the reasonableness of areas of subjective judgements (Eg. Reasonableness of significant accounting estimates)

Q15. Documentation of the professional judgments made, where significant, serves to explain the auditor's conclusions and to reinforce the quality of the judgment. Explain with the help of examples (RTP'19)

Hint: Refer Above: "Significant matter" & "Significant Judgement" *(Answer Ends Here)*

Examples of Audit Document. [AILA - SCC] (Ailaa.. SCC ka Audit Docume) MCQ: Not Include: Draft	Q16. Define audit documentation. Also give some examples. (Sept'25) Hint: Mention definition of Audit Documentation & below Examples: Audit documentation may be recorded on paper or on electronic or other media Example of Audit Documentation include: a) Audit programmes b) Analyses. c) Issues memoranda. d) Letters of confirmation and representation. e) Summaries of Significant matters f) Checklists. g) Correspondence (including e-mail) concerning significant matters. Also Include: Copies of the entity's records (for example, significant and specific contracts and agreements) as part of audit documentation. Audit documentation is not a substitute for the entity's accounting records. Not Include: <u>(S-CID)</u> • Audit documentation <u>Superseded drafts of working papers and FS</u>,
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"engagement Letter"

- notes that reflect Incomplete or preliminary thinking,
- previous copies of docs Corrected for typographical or other errors, &
- Duplicates of docs.

Q17. Audit assistant prepared final Inventory sheet, still in Audit Docs he kept all the old Drafts of Inventory sheet → what are not included in Audit Docs ? → Hint: Wrong approach (refer Above "Not include")

> Ownership of Audit Documentation:

Q18. A director of X Ltd was of the view that Audit Docs of a company is the property of that company.

Q. principal auditor of company to give photocopy of working papers pertaining to the branch audit? Explain.

Answer:

Audit Documentation of a company is **not the property of the company** rather Audit Documentation is the **property of Auditor** of that company

SQC-1:	As per SQC-1, unless otherwise specified by L&R, AD is the property of the auditor
SA 230 Discretion:	As per SA 230, He may at his discretion, make portions of, or extracts from, AD available to clients, provided such disclosure does not undermine the validity of the work performed , or, in the case of assurance engagements, the independence of the auditor or of his personnel
	An auditor is not required to provide the clients or other auditors' access to his working papers.

Main auditor of the company does **not have right of access to the working papers of the branch auditor**. In the case of a company, the main auditor has to consider the report of the branch auditor and has a right to seek clarification and to visit the branch but cannot ask for the copy of working paper

> Completion Memorandum or Audit Documentation Summary

[Trick: LSS > Helpful for Large Audit > Significant matters > SA's Objective]

Q19. "Completion Memorandum" is helpful as part of the audit documentation. Explain. (RTP'24)

Q. Audit documentation summary facilitate effective & efficient reviews, particularly for large audits. Explain.

What it Contains:	The auditor " MAY " consider it helpful to prepare and retain as part of the audit documentation a summary (sometimes known as a completion memorandum) that describes- • the significant matters identified during the audit and • How they were addressed.
Importance:	• Helpful for Review of Complex & Large Audit: Such summary may facilitate effective & efficient review & inspection of audit documentation, particularly for large & complex audits. • Significant Matter: Such summary assist auditor's consideration of significant matters. • Any SA Objective Not Achieved: It may also help auditor to consider whether there is any individual relevant SA objective that the auditor cannot achieve that would prevent the auditor from achieving the overall objectives of auditor.
Not Compulsory:	It's not compulsory to prepare



THANK
YOU